Camil Alimentos

H1 2026 Purchase Hedge Simulation

A plain-English guide | Public prices | Estimated volumes

Who	When	Cover matrix
Camil Alimentos S.A. (CAML3)	January - June 2026	0% / 25% / 50% / 75% / 100%

1. Simple glossary (read this first)

Camil buys agricultural raw materials (rice, sugar, coffee, wheat) to make food products. Those prices move every month. A hedge is a financial contract that helps stabilize the purchase budget when prices jump.

> **IN EVERYDAY TERMS**
> Think of a hedge like travel insurance or a fixed-rate loan: you pay something (or accept less upside) to avoid a nasty surprise on cost.

Words used in this report:

- Market price (spot): the average price Camil would pay that month if it buys on the open market.
- Volume: how much product is purchased that month (estimated from Camil's public reports).
- No hedge: buy everything at the market price. Simple, but the bill swings with the market.
- Swap (fixed price): agree in advance to pay a fixed price on part of the volume. If the market rises, you are protected. If it falls, you miss the cheaper market.
- Call option: like an insurance policy against rising prices. You pay a premium up front. If price rises above a strike, you receive a payoff that offsets the extra cost. If price falls, the option expires unused and you only lose the premium.
- Put option (sold in a collar): the other side of a call. Selling a put lowers the net premium you pay, but if price falls a lot you may owe a payoff.
- Collar: buy a call and sell a put together. Cheaper protection than a call alone, with a floor on how much you benefit if prices crash.
- Zero-cost collar: we choose the put strike so the premium you receive for the put equals the premium you pay for the call. Net premium is about zero. Because each month has a different time left until expiry, that put strike is recalculated every month.
- Coverage %: share of monthly volume that is hedged (0%, 25%, 50%, 75% or 100%). The rest stays at market.
- Premium: the price of the option (what you pay to buy protection).
- Payoff: what the option pays you (or what you owe) when the month's price is known.
- Hedge benefit: cost with hedge minus cost without hedge. Positive = the hedge saved money. Negative = the market was cheaper than the hedge.

2. What we simulated

We ask: if Camil had hedged 50% of its estimated monthly purchases from January to June 2026, how would the bill compare with buying everything at market?

Four strategies, applied separately to rice, sugar, coffee and wheat. All option structures share the same call strike (105% of January), so they are directly comparable:

- No hedge - buy 100% at each month's market average.
- Swap - lock part of the volume at the January average price; the rest stays at market.
- Call 105% - buy a call at 105% of the January price. Pay a premium; receive a payoff if price finishes above that strike.
- Collar 95%/105% - buy the same 105% call and sell a put at 95% of January (fixed). Net premium is smaller than the call alone, but not necessarily zero.
- Zero-cost collar - buy the same 105% call, and each month solve the put strike so put premium = call premium (CommoHedge Zero-Cost Strategies). Net premium is ~0; the put strike changes every month (typically closer to spot than 95%).

IMPORTANT
Option premiums are calculated on 2 January 2026 using the Black-76 model (same engine as CommoHedge Strategy Builder / Zero-Cost Stra
Volatility comes from the six monthly price moves in H1. This is an illustration, not Camil's real trades.

3. Results at a glance

Rice prices rose, so locking part of the purchase helped. Coffee prices fell a lot, so a fixed swap looked expensive; a call option limited the cost of being wrong.

Commodity	Risk*	Unhedged cost	Swap 50%	Call105 50%	Collar95/105 50%	ZC collar 50%
Sugar	17.4%	-$89.42M	-$378k	-$971k	-$418k	-$373k
Coffee	20.3%	-$125.77M	-$10.45M	-$1.99M	-$8.15M	-$9.43M
Wheat	13.7%	-$10.72M	$333k	$72k	$108k	$147k
Rice	16.2%	-R$461.01M	R$19.69M	R$7.65M	R$9.87M	R$11.73M

* Risk = historical volatility. Hedge Benefit at 50% cover. Call / Collar / ZC all use call strike = 105% of January.

RICE - prices went up

A 50% swap would have improved the purchase bill by about R$19.69M. That is the clearest win in this period.

COFFEE - prices went down

A swap locked a high January price and cost about -$10.45M. A call option cost only about -$1.99M (mostly the premium).

4. How the option premium and payoff work

For a food buyer, a call option is insurance against higher raw-material prices.

- You choose a strike price (here: 105% of the January average). That is the price level you want protection above.
- You pay a premium on day one (or at the start of the program). That premium is the cost of insurance.
- At the end of the month, if the market price is above the strike, the option payoff = market price minus strike. That cash gain offsets the higher physical purchase.
- If the market price is below the strike, the payoff is zero. You still paid the premium, but you enjoy the cheaper market on your physical purchases.

NET EFFECT OF A CALL (ON THE HEDGED HALF)
Net = - Premium + Payoff. If prices rise a lot, Payoff can exceed Premium (insurance pays). If prices fall, Payoff is zero and you only lose the Premium - which is usually much smaller than the loss on a fixed swap.

A collar 95%/105% reduces the premium: same 105% call, plus you sell a put at 95% of January. The money received for that put lowers what you pay for the call. If price falls below 95%, you owe a put payoff. The zero-cost collar uses the same call but solves a higher put strike so net premium is ~0.

Option strikes used in this simulation

Commodity	Unit	Call (105%)	Put collar (95%)	Meaning
Sugar	USD per pound	15.23 c/lb	13.77 c/lb	Same call for Call / Collar / ZC; ZC put varies by month
Coffee	USD per pound	351.7 c/lb	318.2 c/lb	Same call for Call / Collar / ZC; ZC put varies by month
Wheat	USD per bushel	$5.26/bu	$4.76/bu	Same call for Call / Collar / ZC; ZC put varies by month
Rice	BRL per 50 kg bag	R$56.05/bag	R$50.71/bag	Same call for Call / Collar / ZC; ZC put varies by month

5. Option premiums and payoffs (by commodity)

Premiums are shown in cash on the hedged volume only (50% of monthly volume). Payoff is what the option returns that month. Net for the call = Payoff minus Premium.

Sugar | World sugar futures (ICE)

Hedged volume each month: 51,826,942 units (50% of 103,653,884). Call 105% = 15.23 c/lb. Collar put 95% = 13.77 c/lb.

H1 total (6 months)	Amount
Call 105% premiums paid (cash)	$970,857
Call 105% payoffs received (cash)	$0
Call 105% net (payoffs - premiums)	-$970,857
Collar 95/105 net premiums paid	$418,047
Collar 95/105 net payoffs	$0
Collar 95/105 net (payoffs - premiums)	-$418,047
Overall hedge benefit (Call 105%)	-$970,857
Overall hedge benefit (Collar 95/105)	-$418,047
Overall hedge benefit (Zero-cost collar)	-$373,451

Month-by-month Call 105% (premium paid vs payoff received):

Month	Market price	Premium / unit	Payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	14.50 c/lb	0.0007	0.0000	$38k	$0	-$38k
Feb	14.20 c/lb	0.0017	0.0000	$89k	$0	-$89k
Mar	14.80 c/lb	0.0027	0.0000	$142k	$0	-$142k
Apr	14.09 c/lb	0.0037	0.0000	$189k	$0	-$189k
May	14.77 c/lb	0.0045	0.0000	$235k	$0	-$235k
Jun	13.91 c/lb	0.0054	0.0000	$277k	$0	-$277k

Month-by-month Collar 95%/105% (net premium vs net payoff):

Month	Market price	Net premium / unit	Net payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	14.50 c/lb	0.0003	0.0000	$13k	$0	-$13k
Feb	14.20 c/lb	0.0006	0.0000	$33k	$0	-$33k
Mar	14.80 c/lb	0.0011	0.0000	$57k	$0	-$57k
Apr	14.09 c/lb	0.0016	0.0000	$80k	$0	-$80k
May	14.77 c/lb	0.0020	0.0000	$105k	$0	-$105k
Jun	13.91 c/lb	0.0025	0.0000	$129k	$0	-$129k

Coffee | Arabica coffee futures (ICE New York)

Hedged volume each month: 3,648,646 units (50% of 7,297,292). Call 105% = 351.7 c/lb. Collar put 95% = 318.2 c/lb.

H1 total (6 months)	Amount
Call 105% premiums paid (cash)	$1,994,603
Call 105% payoffs received (cash)	$0
Call 105% net (payoffs - premiums)	-$1,994,603
Collar 95/105 net premiums paid	$752,330
Collar 95/105 net payoffs	-$7,395,897
Collar 95/105 net (payoffs - premiums)	-$8,148,227
Overall hedge benefit (Call 105%)	-$1,994,603
Overall hedge benefit (Collar 95/105)	-$8,148,227
Overall hedge benefit (Zero-cost collar)	-$9,430,957

Month-by-month Call 105% (premium paid vs payoff received):

Month	Market price	Premium / unit	Payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	335.0 c/lb	0.0250	0.0000	$91k	$0	-$91k
Feb	288.8 c/lb	0.0535	0.0000	$195k	$0	-$195k
Mar	290.2 c/lb	0.0815	0.0000	$297k	$0	-$297k
Apr	284.6 c/lb	0.1061	0.0000	$387k	$0	-$387k
May	268.2 c/lb	0.1296	0.0000	$473k	$0	-$473k
Jun	256.8 c/lb	0.1510	0.0000	$551k	$0	-$551k

Month-by-month Collar 95%/105% (net premium vs net payoff):

Month	Market price	Net premium / unit	Net payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	335.0 c/lb	0.0075	0.0000	$27k	$0	-$27k
Feb	288.8 c/lb	0.0173	-0.2948	$63k	-$1.08M	-$1.14M
Mar	290.2 c/lb	0.0285	-0.2806	$104k	-$1.02M	-$1.13M
Apr	284.6 c/lb	0.0395	-0.3361	$144k	-$1.23M	-$1.37M
May	268.2 c/lb	0.0511	-0.5006	$186k	-$1.83M	-$2.01M
Jun	256.8 c/lb	0.0623	-0.6149	$227k	-$2.24M	-$2.47M

WHY COFFEE CALL LOOKS BETTER THAN THE SWAP HERE

Coffee fell from 335.0 c/lb in January to 256.8 c/lb in June. The call payoffs were mostly zero (price stayed below the strike), so you mainly paid premiums ($1.99M). That is still much smaller than the -$10.45M opportunity cost of a fixed swap locked at the high January price.

Wheat | US wheat market price

Hedged volume each month: 167,227 units (50% of 334,454). Call 105% = $5.26/bu. Collar put 95% = $4.76/bu.

H1 total (6 months)	Amount
Call 105% premiums paid (cash)	$74,357
Call 105% payoffs received (cash)	$146,825
Call 105% net (payoffs - premiums)	$72,469
Collar 95/105 net premiums paid	$38,900
Collar 95/105 net payoffs	$146,825
Collar 95/105 net (payoffs - premiums)	$107,925
Overall hedge benefit (Call 105%)	$72,469
Overall hedge benefit (Collar 95/105)	$107,925
Overall hedge benefit (Zero-cost collar)	$146,825

Month-by-month Call 105% (premium paid vs payoff received):

Month	Market price	Premium / unit	Payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	$5.01/bu	0.0126	0.0000	$2k	$0	-$2k
Feb	$5.12/bu	0.0360	0.0000	$6k	$0	-$6k
Mar	$5.52/bu	0.0623	0.2595	$10k	$43k	$33k
Apr	$5.40/bu	0.0871	0.1395	$15k	$23k	$9k
May	$5.55/bu	0.1118	0.2895	$19k	$48k	$30k
Jun	$5.45/bu	0.1349	0.1895	$23k	$32k	$9k

Month-by-month Collar 95%/105% (net premium vs net payoff):

Month	Market price	Net premium / unit	Net payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	$5.01/bu	0.0055	0.0000	$927	$0	-$927
Feb	$5.12/bu	0.0165	0.0000	$3k	$0	-$3k
Mar	$5.52/bu	0.0305	0.2595	$5k	$43k	$38k
Apr	$5.40/bu	0.0448	0.1395	$7k	$23k	$16k
May	$5.55/bu	0.0601	0.2895	$10k	$48k	$38k
Jun	$5.45/bu	0.0752	0.1895	$13k	$32k	$19k

Rice | Brazil rice indicator (CEPEA)

Hedged volume each month: 658,233 units (50% of 1,316,467). Call 105% = R$56.05/bag. Collar put 95% = R$50.71/bag.

H1 total (6 months)	Amount
Call 105% premiums paid (cash)	R$4,073,047
Call 105% payoffs received (cash)	R$11,725,769
Call 105% net (payoffs - premiums)	R$7,652,721
Collar 95/105 net premiums paid	R$1,859,804
Collar 95/105 net payoffs	R$11,725,769
Collar 95/105 net (payoffs - premiums)	R$9,865,964
Overall hedge benefit (Call 105%)	R$7,652,721
Overall hedge benefit (Collar 95/105)	R$9,865,964
Overall hedge benefit (Zero-cost collar)	R$11,725,769

Month-by-month Call 105% (premium paid vs payoff received):

Month	Market price	Premium / unit	Payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	R$53.38/bag	0.2223	0.0000	R$146k	R$0	-R$146k
Feb	R$54.80/bag	0.5499	0.0000	R$362k	R$0	-R$362k
Mar	R$58.83/bag	0.8949	2.7810	R$589k	R$1.83M	R$1.24M
Apr	R$62.67/bag	1.2085	6.6210	R$795k	R$4.36M	R$3.56M
May	R$61.02/bag	1.5148	4.9710	R$997k	R$3.27M	R$2.27M
Jun	R$59.49/bag	1.7974	3.4410	R$1.18M	R$2.26M	R$1.08M

Month-by-month Collar 95%/105% (net premium vs net payoff):

Month	Market price	Net premium / unit	Net payoff / unit	Premium (cash)	Payoff (cash)	Net (cash)
Jan	R$53.38/bag	0.0832	0.0000	R$55k	R$0	-R$55k
Feb	R$54.80/bag	0.2179	0.0000	R$143k	R$0	-R$143k
Mar	R$58.83/bag	0.3801	2.7810	R$250k	R$1.83M	R$1.58M
Apr	R$62.67/bag	0.5434	6.6210	R$358k	R$4.36M	R$4.00M
May	R$61.02/bag	0.7158	4.9710	R$471k	R$3.27M	R$2.80M
Jun	R$59.49/bag	0.8850	3.4410	R$583k	R$2.26M	R$1.68M

WHY RICE OPTIONS AND SWAPS BOTH HELPED
Rice rose from R$53.38/bag to a peak near R$62.67/bag. Call payoffs turned positive in the rising months, so premiums were partly or fully offset. The swap locked the cheap January price on half the volume and delivered the largest cash benefit (R$19.69M).

6. Monthly market prices used

Average prices each month - the 'bill' if Camil bought on the market.

Commodity	Unit	Jan	Feb	Mar	Apr	May	Jun	Risk
Sugar	cents/lb	14.50	14.20	14.80	14.09	14.77	13.91	17.4%
Coffee	cents/lb	335.0	288.8	290.2	284.6	268.2	256.8	20.3%
Wheat	USD/bu	5.01	5.12	5.52	5.40	5.55	5.45	13.7%
Rice	BRL/bag	53.38	54.80	58.83	62.67	61.02	59.49	16.2%

Sources: CEPEA (rice), ICE sugar and coffee, USDA / futures proxies (wheat).

7. Estimated monthly volumes

Camil publishes total tonnes sold, not exact tonnes of each raw material. We apply the shares from their investor guide to the 2025 total (2.26 million tonnes), then divide by 12 for a monthly figure.

Commodity	Tonnes / month	Trading units / month	Share assumption
Rice	65,800	1,316,467 bags	~35% of total volume
Sugar	47,000	103,653,884 lb	~25% of total volume
Coffee	3,300	7,297,292 lb	~20% of High Growth
Wheat	9,100	334,454 bushels	~55% of High Growth

High Growth = Camil's pasta, biscuits, coffee and canned-fish business in Brazil.

8. Full monthly costs (all strategies)

Cost without hedge vs 50% swap, and hedge benefit for swap, Call 105%, Collar 95/105 and Zero-cost collar.

Sugar

Month	Market	No hedge	Benefit swap	Benefit call105	Benefit 95/105	Benefit ZC
Jan	14.50 c/lb	-$15.03M	$0	-$38k	-$13k	$0
Feb	14.20 c/lb	-$14.72M	-$155k	-$89k	-$33k	-$0
Mar	14.80 c/lb	-$15.34M	$155k	-$142k	-$57k	$0
Apr	14.09 c/lb	-$14.60M	-$212k	-$189k	-$80k	-$84k
May	14.77 c/lb	-$15.31M	$140k	-$235k	-$105k	$0
Jun	13.91 c/lb	-$14.42M	-$306k	-$277k	-$129k	-$289k

Coffee

Month	Market	No hedge	Benefit swap	Benefit call105	Benefit 95/105	Benefit ZC
Jan	335.0 c/lb	-$24.45M	$0	-$91k	-$27k	$0
Feb	288.8 c/lb	-$21.07M	-$1.69M	-$195k	-$1.14M	-$1.30M
Mar	290.2 c/lb	-$21.18M	-$1.63M	-$297k	-$1.13M	-$1.34M
Apr	284.6 c/lb	-$20.77M	-$1.84M	-$387k	-$1.37M	-$1.63M
May	268.2 c/lb	-$19.57M	-$2.44M	-$473k	-$2.01M	-$2.33M
Jun	256.8 c/lb	-$18.74M	-$2.85M	-$551k	-$2.47M	-$2.83M

Wheat

Month	Market	No hedge	Benefit swap	Benefit call105	Benefit 95/105	Benefit ZC
Jan	$5.01/bu	-$1.68M	$0	-$2k	-$927	-$0
Feb	$5.12/bu	-$1.71M	$18k	-$6k	-$3k	$0
Mar	$5.52/bu	-$1.85M	$85k	$33k	$38k	$43k
Apr	$5.40/bu	-$1.81M	$65k	$9k	$16k	$23k
May	$5.55/bu	-$1.86M	$90k	$30k	$38k	$48k
Jun	$5.45/bu	-$1.82M	$74k	$9k	$19k	$32k

Rice

Month	Market	No hedge	Benefit swap	Benefit call105	Benefit 95/105	Benefit ZC
Jan	R$53.38/bag	-R$70.27M	R$0	-R$146k	-R$55k	-R$0
Feb	R$54.80/bag	-R$72.14M	R$935k	-R$362k	-R$143k	R$0
Mar	R$58.83/bag	-R$77.45M	R$3.59M	R$1.24M	R$1.58M	R$1.83M
Apr	R$62.67/bag	-R$82.50M	R$6.11M	R$3.56M	R$4.00M	R$4.36M
May	R$61.02/bag	-R$80.33M	R$5.03M	R$2.27M	R$2.80M	R$3.27M
Jun	R$59.49/bag	-R$78.32M	R$4.02M	R$1.08M	R$1.68M	R$2.26M

9. Zero-cost collar: different put strike each month

Same 105% call as the Call and the Collar 95/105. In CommoHedge Zero-Cost Strategies we solve the put strike so the two premiums cancel. For each month's maturity: call premium = put premium, therefore net premium is about zero. That put is usually closer to spot than the fixed 95% put - so you finance the call more aggressively.

WHY THE PUT STRIKE CHANGES EVERY MONTH
January options have little time left; June options have more time. Option prices depend on time. So the put strike that makes the package free is not the same in February as in June. That is expected - it is not a calculation error.

Sugar - zero-cost strikes

Call strike fixed at 15.23 c/lb (105% of January). Put strike solved each month:

Month	Market	Call strike	Put strike (ZC)	Put % of Jan	Call prem.	Put prem.	Net prem.
Jan	14.50 c/lb	15.23 c/lb	13.93 c/lb	96.1%	0.0007	0.0007	-0.000000
Feb	14.20 c/lb	15.23 c/lb	14.03 c/lb	96.8%	0.0017	0.0017	0.000000
Mar	14.80 c/lb	15.23 c/lb	14.14 c/lb	97.6%	0.0027	0.0027	-0.000000
Apr	14.09 c/lb	15.23 c/lb	14.25 c/lb	98.3%	0.0037	0.0037	-0.000000
May	14.77 c/lb	15.23 c/lb	14.36 c/lb	99.1%	0.0045	0.0045	-0.000000
Jun	13.91 c/lb	15.23 c/lb	14.47 c/lb	99.8%	0.0054	0.0054	0.000000

Coffee - zero-cost strikes

Call strike fixed at 351.7 c/lb (105% of January). Put strike solved each month:

Month	Market	Call strike	Put strike (ZC)	Put % of Jan	Call prem.	Put prem.	Net prem.
Jan	335.0 c/lb	351.7 c/lb	321.9 c/lb	96.1%	0.0250	0.0250	-0.000000
Feb	288.8 c/lb	351.7 c/lb	324.3 c/lb	96.8%	0.0535	0.0535	-0.000000
Mar	290.2 c/lb	351.7 c/lb	326.9 c/lb	97.6%	0.0815	0.0815	-0.000000
Apr	284.6 c/lb	351.7 c/lb	329.4 c/lb	98.3%	0.1061	0.1061	0.000000
May	268.2 c/lb	351.7 c/lb	331.9 c/lb	99.1%	0.1296	0.1296	-0.000000
Jun	256.8 c/lb	351.7 c/lb	334.4 c/lb	99.8%	0.1510	0.1510	-0.000000

Wheat - zero-cost strikes

Call strike fixed at $5.26/bu (105% of January). Put strike solved each month:

Month	Market	Call strike	Put strike (ZC)	Put % of Jan	Call prem.	Put prem.	Net prem.
Jan	$5.01/bu	$5.26/bu	$4.81/bu	96.0%	0.0126	0.0126	0.000000
Feb	$5.12/bu	$5.26/bu	$4.85/bu	96.7%	0.0360	0.0360	-0.000000
Mar	$5.52/bu	$5.26/bu	$4.88/bu	97.5%	0.0623	0.0623	-0.000000
Apr	$5.40/bu	$5.26/bu	$4.92/bu	98.2%	0.0871	0.0871	-0.000000
May	$5.55/bu	$5.26/bu	$4.96/bu	99.0%	0.1118	0.1118	0.000000
Jun	$5.45/bu	$5.26/bu	$5.00/bu	99.7%	0.1349	0.1349	0.000000

Rice - zero-cost strikes

Call strike fixed at R$56.05/bag (105% of January). Put strike solved each month:

Month	Market	Call strike	Put strike (ZC)	Put % of Jan	Call prem.	Put prem.	Net prem.
Jan	R$53.38/bag	R$56.05/bag	R$51.27/bag	96.1%	0.2223	0.2223	0.000000
Feb	R$54.80/bag	R$56.05/bag	R$51.65/bag	96.8%	0.5499	0.5499	-0.000000
Mar	R$58.83/bag	R$56.05/bag	R$52.06/bag	97.5%	0.8949	0.8949	-0.000001
Apr	R$62.67/bag	R$56.05/bag	R$52.46/bag	98.3%	1.2085	1.2085	-0.000001
May	R$61.02/bag	R$56.05/bag	R$52.86/bag	99.0%	1.5148	1.5148	0.000001
Jun	R$59.49/bag	R$56.05/bag	R$53.25/bag	99.8%	1.7974	1.7974	-0.000000

10. Coverage matrix (0% / 25% / 50% / 75% / 100%)

Same strategies, but we change how much of the monthly volume is hedged. Hedge Benefit for the full H1 period. 0% is always zero (no hedge). Green = hedge helped; red = market was cheaper.

Strategies: Swap | Call 105% | Collar 95%/105% | Zero-cost collar (same call 105%, put re-solved each month).

Sugar - Hedge Benefit by coverage

Strategy	0%	25%	50%	75%	100%
Swap	$0	-$189k	-$378k	-$568k	-$757k
Call 105%	$0	-$485k	-$971k	-$1.46M	-$1.94M
Collar 95%/105%	$0	-$209k	-$418k	-$627k	-$836k
Zero-cost collar	$0	-$187k	-$373k	-$560k	-$747k

Option premiums paid over H1 (cash on hedged volume only):

Strategy	0%	25%	50%	75%	100%
Call 105%	$0	$485k	$971k	$1.46M	$1.94M
Collar 95%/105%	$0	$209k	$418k	$627k	$836k
Zero-cost collar	$0	-$0	-$0	-$0	-$0

Option payoffs received over H1:

Strategy	0%	25%	50%	75%	100%
Call 105%	$0	$0	$0	$0	$0
Collar 95%/105%	$0	$0	$0	$0	$0
Zero-cost collar	$0	-$187k	-$373k	-$560k	-$747k

Coffee - Hedge Benefit by coverage

Strategy	0%	25%	50%	75%	100%
Swap	$0	-$5.23M	-$10.45M	-$15.68M	-$20.90M
Call 105%	$0	-$997k	-$1.99M	-$2.99M	-$3.99M
Collar 95%/105%	$0	-$4.07M	-$8.15M	-$12.22M	-$16.30M
Zero-cost collar	$0	-$4.72M	-$9.43M	-$14.15M	-$18.86M

Option premiums paid over H1 (cash on hedged volume only):

Strategy	0%	25%	50%	75%	100%
Call 105%	$0	$997k	$1.99M	$2.99M	$3.99M
Collar 95%/105%	$0	$376k	$752k	$1.13M	$1.50M
Zero-cost collar	$0	-$0	-$1	-$1	-$1

Option payoffs received over H1:

Strategy	0%	25%	50%	75%	100%
Call 105%	$0	$0	$0	$0	$0
Collar 95%/105%	$0	-$3.70M	-$7.40M	-$11.09M	-$14.79M
Zero-cost collar	$0	-$4.72M	-$9.43M	-$14.15M	-$18.86M

Wheat - Hedge Benefit by coverage

Strategy	0%	25%	50%	75%	100%
Swap	$0	$166k	$333k	$499k	$666k
Call 105%	$0	$36k	$72k	$109k	$145k
Collar 95%/105%	$0	$54k	$108k	$162k	$216k
Zero-cost collar	$0	$73k	$147k	$220k	$294k

Option premiums paid over H1 (cash on hedged volume only):

Strategy	0%	25%	50%	75%	100%
Call 105%	$0	$37k	$74k	$112k	$149k
Collar 95%/105%	$0	$19k	$39k	$58k	$78k
Zero-cost collar	$0	$0	$0	$0	$0

Option payoffs received over H1:

Strategy	0%	25%	50%	75%	100%
Call 105%	$0	$73k	$147k	$220k	$294k
Collar 95%/105%	$0	$73k	$147k	$220k	$294k
Zero-cost collar	$0	$73k	$147k	$220k	$294k

Rice - Hedge Benefit by coverage

Strategy	0%	25%	50%	75%	100%
Swap	R$0	R$9.84M	R$19.69M	R$29.53M	R$39.38M
Call 105%	R$0	R$3.83M	R$7.65M	R$11.48M	R$15.31M
Collar 95%/105%	R$0	R$4.93M	R$9.87M	R$14.80M	R$19.73M
Zero-cost collar	R$0	R$5.86M	R$11.73M	R$17.59M	R$23.45M

Option premiums paid over H1 (cash on hedged volume only):

Strategy	0%	25%	50%	75%	100%
Call 105%	R$0	R$2.04M	R$4.07M	R$6.11M	R$8.15M
Collar 95%/105%	R$0	R$930k	R$1.86M	R$2.79M	R$3.72M
Zero-cost collar	R$0	-R$0	-R$1	-R$1	-R$1

Option payoffs received over H1:

Strategy	0%	25%	50%	75%	100%
Call 105%	R$0	R$5.86M	R$11.73M	R$17.59M	R$23.45M
Collar 95%/105%	R$0	R$5.86M	R$11.73M	R$17.59M	R$23.45M
Zero-cost collar	R$0	R$5.86M	R$11.73M	R$17.59M	R$23.45M

11. Key takeaways for a non-technical reader

- Hedging is about budget certainty, not about 'beating' the market every time.
- Call 105%, Collar 95/105 and Zero-cost share the same upside (same call). Differences come only from the put: premium saved vs downside obligation.
- When prices rise (rice), a swap often wins; options capture only the move above 105%.
- When prices fall (coffee), higher swap coverage hurts more; Call 105% caps the loss at the premium; collars can hurt more if the short put is hit.
- Zero-cost is not risk-free: the solved put is usually tighter than 95%, so you give up more if prices fall, in exchange for ~0 premium.
- Use the coverage matrix to choose 25%, 50% or 75% once the structure is chosen.

12. Important notes

This document is an illustrative marketing report. It uses public prices and estimated volumes. It is not investment advice, not an offer to trade, and not a description of Camil's real hedge book.

Volume shares come from Camil investor materials where exact raw-material tonnes are not disclosed. A few monthly prices are approximations when official averages were incomplete.